

up to this week or whether or not you chose the mutual fund that will be ranked number one in the next issue of *Money*.

But try telling that to someone who's twenty. Who cares about retirement when there's a great pair of speakers on sale at Circuit City? But talk to someone who's sixty-five and you are likely to hear, "If only I had paid attention years ago."

LAW II: Reversion to the Mean

Growth rates eventually go back to their long-term average. Trees don't grow to the sky, for reasons already explained. Reversion to the mean eventually provides the end to the inconsistencies of compound interest. Stock averages can soar at 20 percent for a while, but eventually the long-term return will be around 10 percent. This law, says economist Peter Bernstein in his fascinating book *Against the Gods*, "explains why pride goeth before a fall and why clouds tend to have silver linings." It predicts that great companies won't stay great companies forever. The great ones of thirty years ago are no longer on the top of the list. Eventually, even Microsoft will start to look like any other company.

Reversion to the mean is also why we have market cycles. In the real world, the growth rates are going to be 1 to 4 percent, the rate at which populations can grow, gross national products can grow, real corporate profits can grow. There are certain small regions of the world that are going to do better or worse than that for limited periods, but over the long sweep of time they, too, must reflect the same growth rate.

That's the pace of the real world, but the pricing of financial assets is quite a different matter. A tunnel under the English Channel is difficult, dangerous, and slow to construct. But the price of the stock of the company that owns the tunnel is very easy to change. It can go up or down 20 percent in a week. Financial prices move very rapidly, while changes in the real world tend to be sticky.